and corruption can enter at any stage of the buying process, delaying payments, he adds.

This is what happened to V.K. Agarwal, promoter of Lucknow-based Shashi Cables, who has been fighting an Uttar Pradesh government power discom, the Madhyanchal Vidyut Vitaran Nigam Ltd, for the past three years. In 2020, his firm undertook a project worth Rs 18 crore to supply electricity conductors to the agency. However, as the project neared completion, payments started getting delayed. MVVNL alleged poor product quality and failed laboratory results as reasons for withholding payments. Agarwal, confident of his product's superior quality, brought the issue to the notice of the chairman of the UP Power Corporation Ltd (UPPCL), alleging that a top functionary was involved in deliberate harassment.

An investigation committee ultimately vindicated Shashi Cables. "However, the cost of taking a stand and annoying the system was calamitous for our business. Watching some Rs 18 crore go out of circulation for a firm our size was simply killing. We were paying an exorbitant amount of interest to the bank on blocked working capital, and could not take on any new business," says Agarwal. MVVNL MD Bhawani Singh Khangarot messaged on September 19 that his firm would issue a rejoinder but despite multiple reminders from INDIA TODAY, no response has come so far.

And it's not just public sector firms, private companies are as guilty. For instance, in 2018, when Kia Motors was setting up its factory in Andhra Pradesh, its vendor Kotec Automotive Services India needed to get its pipelines inspected. Kotec appointed NDTS India for this, but since the pipelines were found to be choked, NDTS did not issue clearance certificates. "They wanted a false report and said they would not process the invoice amount otherwise," alleges NDTS CEO Mukesh Arora. The Rs 7.43 lakh bill has been stuck since. Kotec didn't respond to queries from INDIA TODAY. The GAME report says of the total amount due to the MSMEs, around 80 per cent or Rs 8.55 lakh crore, is due to micro and small enterprises.

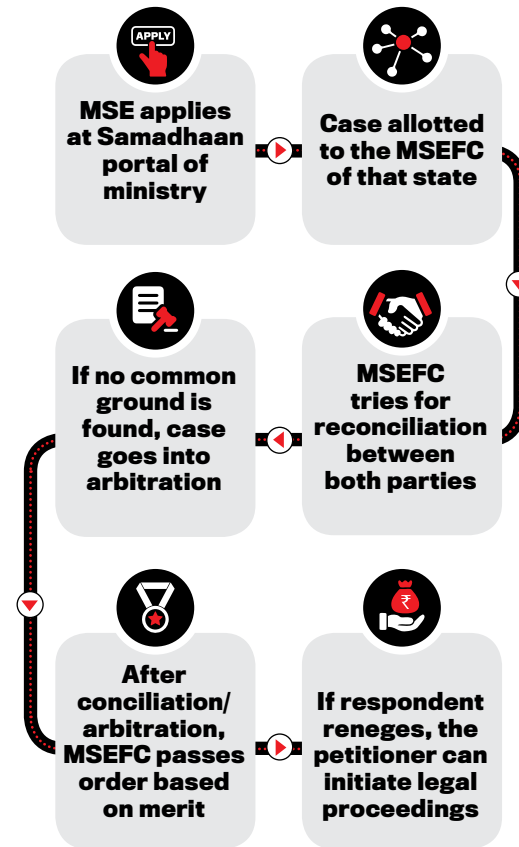
The cost to MSMEs is not just in terms of working capital constraints. Agarwal of Shashi Cables recalls how he spent four years closing a deal with a reputed Belgian company. "It would have got us access to their unique technology and positioned us as a leader in the industry...but once we informed them of the case with Madhyanchal, they quietly pulled out," says Agarwal.



FLAWS IN SAFEGUARDS

India has enough laws to protect MSMEs, such as the MSMED Act, 2006, or the Trade Receivables Discounting System (TReDS). The MSMED Act contains provisions for the state governments to establish a Micro and Small Enterprise Facilitation Council (MSEFC) to resolve disputes related to delayed payments outside the courts. The Act mandates a period of 90 days for conciliation and arbitration.

DISPUTE RESOLUTION PROCESS UNDER MSMED ACT, 2006



But while these measures look comprehensive on paper, the implementation leaves much to be desired.

As Sanjay Kaul, member of the UP Facilitation Council (FC) and former president of the Indian Industries Association, points out, "Most of these MSEFCs are led by the state commissioner of industries, who often has several other duties managing the district. Also, many of its members are not lawyers, so the judgments are not well-reasoned, which then opens a window for the respondent to appeal in higher courts." Since pendency is high in the courts, these cases can drag on for years.

D. Gandhikumar, member of the Chennai FC, says, "The SC has passed several judgments stating that the arbitral award by the FC should be deemed final, and an appeal to the higher courts must only be under special circumstances. But in the last 3-4 years, probably due to lobbying by larger enterprises, we now see courts accepting all kinds of appeals, some on frivolous grounds."

In October 2017, the government had